

HealthEquity — Health Savings Account 2025 Tax Statement

Account holder: Veronica Geller HSA account ****5521 Coverage: Self-only TIN XXX-XX-2104

Form 5498-SA — HSA Contributions

Box / Item	Amount
Employer contributions via cafeteria plan (W-2 Box 12 W)	1,200.00
Direct (post-tax) contributions by you	2,000.00
Box 2 — Total contributions for 2025	3,200.00
Box 3 — Total HSA contribution limit (self-only)	4,300.00

Code-W employer contributions of 1,200.00 are already excluded from W-2 wages and are NOT deductible again. Direct contributions of 2,000.00 are deductible above the line on Schedule 1 (via Form 8889). Total 3,200.00 is within the 4,300.00 self-only limit, so no 6% excess-contribution excise applies.

HSA Eligibility & Form 8889 Walkthrough

To contribute to an HSA you must be covered by a qualifying high-deductible health plan (HDHP), have no disqualifying coverage, not be enrolled in Medicare, and not be claimed as a dependent. This account is reported as self-only HDHP coverage for the full year.

Form 8889 Part I: report total contributions, separate the employer (Code W) portion, and deduct only your direct contributions. Part II reports distributions used for qualified medical expenses.

Form 8889 line	Entry
1 Coverage	Self-only
2 Direct contributions you made	2,000.00
9 Employer contributions (Code W)	1,200.00
13 HSA deduction	2,000.00

Contribution Limits & Excess Contributions

The 2025 HSA contribution limit is 4,300.00 for self-only coverage (and a higher amount for family coverage), plus a \$1,000 catch-up if age 55 or older. Contributions above the limit are subject to a 6% excise tax each year they remain in the account unless withdrawn by the filing deadline.

Your combined contributions of 3,200.00 are within the limit, so no excess applies.

Code W vs. Direct Contributions

Code W (payroll/cafeteria): contributions made through your employer's plan are pre-tax — already removed from Boxes 1, 3, and 5 of your W-2. Because they were never taxed, they cannot be deducted again.

Direct contributions: amounts you deposit on your own (not through payroll) are made with after-tax dollars and are deducted on Schedule 1, reducing your AGI. Only this portion belongs on Form 8889 line 2 / line 13.

A common error is deducting the full HSA balance, including the Code-W amount; that double-counts the pre-tax payroll contributions.

Distributions & Recordkeeping

Item	Amount
Form 1099-SA — total distributions	0.00
Distributions for qualified medical expenses	0.00
Taxable distributions	0.00

No distributions were taken in 2025. Keep receipts for qualified medical expenses; distributions used for non-qualified expenses are taxable and subject to a 20% additional tax before age 65.

Definitions of Common Terms

Above-the-line deduction: an adjustment that reduces AGI and may be claimed even if you take the standard deduction. Cafeteria plan (Section 125): an employer plan allowing pre-tax benefit elections. HDHP: a high-deductible health plan that qualifies you to contribute to an HSA. Qualified medical expense: an expense that can be paid tax-free from an HSA.

Error Resolution & Your Rights

If you believe this document contains an error, contact HealthEquity promptly. Many error-resolution rights are time-limited, and delays can affect both your records and any related tax filing. Describe the suspected error in writing and include the account or document identifier.

This statement reports contribution information to the IRS on Form 5498-SA and to you for your records. Consult your tax advisor regarding the treatment of HSA contributions and distributions.